



CHAPTER ONE

International Marketing

An Overview of International Marketing

- International marketing is about the application of marketing skills and techniques to markets beyond the domestic market.
- International marketing is a part of total marketing process. All the marketing activities like buying, selling, transportation, storage and warehousing, financing, risk bearing, pricing, advertising and sales promotion etc when performed in foreign markets across the national border is called international marketing.



Why International Marketing?

The major reasons to go to international markets are:

- **Market Saturation**
 - **Trade Deficit**
 - **Foreign Competition**
 - **Emergence of new Markets**
 - **Globalization**
 - **Economies of scale**
 - **To get cheap labor costs**
 - **To develop and /or test new products outside**
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Major International marketing decisions

1. Deciding whether to go international or not

- ▶ Not all companies need to venture into foreign markets to survive. For example, many companies are local businesses that need to market well only in the local marketplace.

2. Looking at the global marketing environment

- ▶ Before going abroad, the company should try to define its international marketing objectives and policies.
- ▶ It should decide what volume of foreign sales it wants, and how many countries it wants to market in.



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- Possible international markets should be ranked on several factors, including market size, market growth, and cost of doing business, competitive advantage, and risk level

3. Deciding which markets to enter

- Once a company has decided to market in a foreign country, it must determine the best mode of entry. Its choices are *exporting, joint venturing and direct investment*.

International marketing tasks

- The marketing's task is to mould the controllable elements of marketing decisions (product, price, promotion and distribution) within the framework of uncontrollable elements of the market place (competition, consumer behavior, politics, etc) in such a way that marketing objectives are achieved.
- At international level the environment in which the companies function (the uncontrollable elements) can change dramatically from one country to another and this is the international marketer's primary concern: the difficulties created by different environments and how to deal with them.



❖ **Marketing controllable:**

- ➡ Are the elements the marketer controls and he can change at his own will (price, promotion, product, distribution).
- ➡ They Can be altered in the long run and in the short run, to adjust to changing market conditions, consumers' tastes or corporate objectives.

❖ **Domestic uncontrollable:**

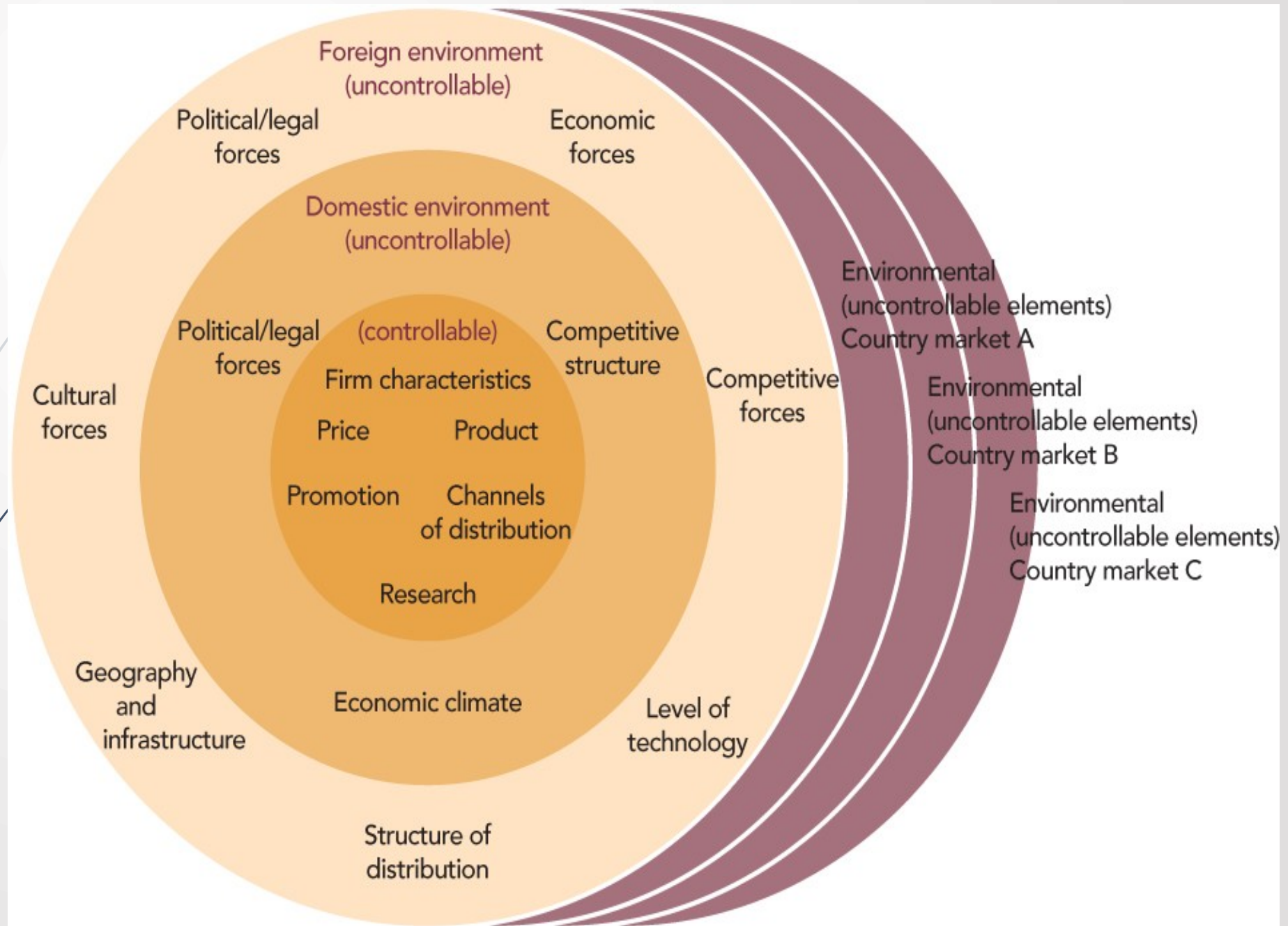
- ➡ refer to the *home country* elements that can have a direct effect on the success of a foreign venture and they are out of the immediate control of the marketer.

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- ▶ Among the domestic environment elements that can influence the activity of a company abroad are:

- ▶ Political decisions
- ▶ Domestic economic climate
- ▶ Competition in the home market

❖ **Foreign uncontrollable:**

- ▶ Refer to the *elements outside the home country* that are not in the immediate control of the company. Some of the elements of the foreign environment worth taking into consideration are:
 - ▶ politics,
 - ▶ technology,
 - ▶ economic climate.



Scope of international marketing

❖ **Exporting**

- The scope of international marketing essentially includes exporting of goods and services in foreign markets.

❖ **Establishing** a branch in foreign market for processing, packaging or assembling the goods according to the needs of the markets.

❖ **Joint Ventures and collaborations.**

- establishing joint ventures and collaboration in foreign countries with some foreign firms for manufacturing or marketing the product.



❖ **Licensing Arrangements**

- ➡ The company establishes licensing arrangements with the foreign firm whereby they are granted the right to use the exporting company's know-how, i.e. patents, processes or trademarks according to the terms of agreement.

❖ **Consultancy services**

- ➡ the exporting company sends its consultants and experts in foreign countries who guide and direct the manufacturing activities.



Stages of international marketing involvement

1. No direct foreign marketing

- ➡ Sales may be made to trading companies and other foreign customers who come directly to the firm. Or products reach foreign markets via domestic wholesalers or distributors who sell abroad on their own without explicit encouragement or even knowledge of the producer.



2. Infrequent foreign marketing

- ▶ Temporary surpluses caused by variations in production levels or demand may result in infrequent marketing overseas. The surpluses are characterized by their temporary nature; therefore, sales to foreign markets are made as goods are available, with little or no intention of maintaining continuous market representation.
 - ▶ As domestic demand increases and absorbs surpluses, foreign sales activity is withdrawn. In this phase, there is little or no change in company organization or product lines.
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3. Regular foreign marketing.

- At this level, the firm has permanent productive capacity devoted to the production of goods to be marketed on a continuing basis in foreign markets.
 - A firm may employ foreign or domestic overseas middlemen or it may have its own sales force or sales subsidiaries in important foreign markets.
 - The primary focus for products presently being produced is to meet domestic market needs.
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4. International marketing.

- ➡ Companies in this phase are fully committed and involved in international marketing activities.
 - ➡ Such companies seek markets throughout the world and sell products that are a result of planned production for markets in various countries.
 - ➡ This generally entails not only the marketing, but also the production of goods throughout the world.
 - ➡ At this point, a company becomes an international or multinational marketing firm dependent on foreign revenues.
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5. Global marketing

- At the global marketing level, companies treat the world, including their home market, as their market.
 - This is one step further than the multinational or international company that views the world as a series of country markets (including their home market) with unique sets of market characteristics for which products and marketing strategies must be developed.
 - A global company develops an overall strategy and image to reflect the existing commonalities of market needs among many countries to maximize returns through some global standardization.
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International Marketing Orientation

- ▶ The way a company responds to international market opportunities depends on management's assumptions and beliefs about the world and the international activities.
 - ▶ The orientations a company's management and personnel is collectively known as the EPRG framework
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➤ 1.The ethnocentric

- Is a strong orientation toward the home country.
- Markets and consumers abroad are viewed as unfamiliar and even inferior in taste, sophistication, and opportunity.
- Assumes that the home country is superior compared to the rest of the world. It is also known as the domestic market extension concept.
- The company assumes that products and practices that were successful in the home country will be successful anywhere, due to their proven superiority in the home market.
- Excess production is the main reason for selling abroad.
- The foreign sales are only extensions of the domestic sales and usually they take the form of export.





Chapter Two

The Environment of International Marketing

**Cultural, Political, Legal, Economical,
Natural and Technological Environment**





Introduction

- The marketing environment consists of all factors that can affect the organization's marketing activities. These factors are largely uncontrollable.
- It can be classified as internal and external environment.
- **Internal marketing environment**
- Internal environment are controllable because they are under the control of the firm's management
- **Human resource**
- **Marketing mix**
- **R&D and technological capabilities**
- **Company image and brand equity**



External marketing environment

- ▶ External marketing environment may be classified as: Micro environment & Macro environment
- ▶ **Micro environment**
- ▶ The microenvironment consists of the actors in the company's immediate environment that affects the performance of the company directly. It includes Competitors, Customers, Suppliers, Stockholders, Employees, and Publics
- ▶ **Macro Environment**
- ▶ The macro environment refers to all forces that are part of the larger society and affect the microenvironment. It includes concepts such as demography, economy, natural forces, technology, politics, and culture.



Cont...

1. Cultural Marketing Environment

- ▶ Culture is a set of traditional beliefs and values that are transmitted and shared in a given society
- ▶ The marketing challenge is to create a product that fits the needs of a particular culture.

2. Demographic Environment

- ▶ Demography refers to studying human populations in terms of *size, density, location, age, gender, race, and occupation*



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3. Economic Systems

- ▶ These systems serve to explain whether businesses are privately owned or government owned, or whether there is a combination of private and government ownership.
- ▶ Basically, **three systems may be identified:**
- ▶ **Communism, socialism, and capitalism**



Cont...

- ❖ **Communist** theory holds that all resources should be owned and shared by all the people not by profit-seeking enterprises) for the benefit of the society. A movement toward **communism** is accompanied by **an increase in government interference and more control of factors of production**.
- ❖ **Socialism** is somewhat less than under communism. A socialist government owns and operates the basic, major industries but leaves small businesses to private ownership. Socialism is a matter of degree, and not all socialist countries are the same.
- **Capitalism** provides for a *free-market system that allows* business competition and freedom of choice for both consumers and companies. A movement toward **capitalism** is accompanied by an increase in private ownership.



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- It is a *market-oriented* system in which individuals, motivated by private gain, are **allowed to produce goods or services for public consumption under competitive conditions**. Product price is determined by demand and supply.

4. POLITICAL RISKS

- There are a number of political risks with which marketers must contend. Hazards based on a host government's actions include;
- **Confiscation,**
- **Expropriation,**
- **Nationalization,**
- **Domestication, and**
- **Creeping expropriation.**



Cont...

a. Confiscation

- Confiscation is the process of a government's taking ownership of a property without compensation.

b. Expropriation

- In Expropriation there is some compensation, though not necessarily just compensation. More often than not, a company whose property is being expropriated agrees to sell its operations – not by choice but rather due to some explicit or implied coercion.
- After property has been confiscated or expropriated, it can be either nationalized or domesticated.

c. Nationalization

- Nationalization involves government ownership, and it is the government that operates the business being taken over



Cont...

d. Domestication

- In the case of domestication, foreign companies hand over control and ownership, either completely or partially, to the nationals. The result is that private entities are allowed to operate the confiscated or expropriated property.

e. Creeping Expropriation

- creeping expropriation as “a set of actions whose cumulative effect is to deprive (deny) investors of their fundamental rights in the investment.”
- Laws that affect corporate ownership, control, profit, and reinvestment (e.g., currency inconvertibility or cancellation of import license) can be easily enacted



Cont...

- **Indicators of political instability**
- Potential sources of political complication include **social unrest, the attitudes of nationals, and the policies of the host government**
- **Measures to minimize political risk**
 - 1. Stimulation of the local economy**
 - One defensive investment strategy calls for a company to link its business activities with the host country's national economic interests
 - 2. Employment of nationals**
 - Frequently, foreigners make the simple but costly mistake of assuming that citizens of less developed countries are poor by choice



Cont...

3. Sharing ownership

- Instead of keeping complete ownership for itself, a company should try to share ownership with others, especially with local companies

4. Being civic minded

- It is not sufficient that the company simply does business in a foreign country; it should also be a good corporate citizen there.

5. Political neutrality

- For the best long-term interests of the company, it is not wise to become involved in political disputes among local groups or between countries.



Cont...

5. Political and Legal Environment

- ▶ The political environment includes all laws, government agencies, and groups that influence or limit other organizations and individuals within a society.
- ▶ **Legal environment**

Intellectual Property

- ▶ Intellectual property (IP), is *“creations of the mind: inventions, literary and artistic works, and symbols, names, images, and designs used in commerce.”*
1. **Trademark** is a symbol, word, or object used to identify a product made or marketed by a particular firm.
 2. **Copyright**, offers protection against unauthorized copying by others to an author or artist for his or her literary, musical, dramatic, and artistic works.



Cont...

3. Patent protects an invention of a scientific or technical nature. It is a legal grant from the government (the Patent Office) to an inventor in exchange for public disclosure giving the patent holder exclusive right to the functional and design inventions patented and excluding others from using those inventions for a certain period of time.

4. Trade secret refers to know-how (e.g., manufacturing methods, formulas, plans, and so on) that is kept secret within a particular business. Firm's competitive advantage.



Cont...

6. Economic environment

- ▶ The economic conditions of a country – for example the nature of economy, the stage of development of the economy, economic resources, the level of income, the distribution of income and assets, etc.-are the very important determinants of business strategies.

7. Natural environment

- ▶ The natural environment is another important factor of the macro environment. This includes the natural resources that a company uses as inputs and affects their marketing activities. The concern in this area is the *increased pollution, shortages of raw materials and increased governmental intervention*



Cont...

8. Technological environment

- ▶ The technological environment is perhaps one of the fastest changing factors in the macro environment. This includes all developments from antibiotics and surgery to nuclear missiles and chemical weapons to automobiles and credit cards. As these markets develop it can create new markets and new uses for products. It also requires a company to stay ahead of others and update their own technology as it becomes outdated.

Chapter Three

➤ Modes of Entry in International market

We can divide entry modes into three broad category, these are:

- 1. Export
- 2. Contract based
- 3. Non Contract based

A. Export

Firms have **two alternatives in exporting products to international market these are: direct and, indirect exporting**. In indirect involvement **firms participate in international businesses through an intermediary**. In direct exporting **firms are in interrelationships with foreign customers and markets**. Firms use own exporting when there is no domestic or foreign middleman between the producer and end customer.



There are *various reasons for firms to just take other alternatives than exporting*. Let us see some reasons that might force for looking beyond exporting.

- ➡ Overcoming trade barriers
- ➡ Reducing tariffs by having local content
- ➡ Reducing transport and production costs
- ➡ Utilizing more favorable production conditions
- ➡ Being closer to your market reduce transportation cost
- ➡ Better market credibility
- ➡ Achieving better market penetration
- ➡ Reaching more markets



Exporting strategies benefits

- The rapidity of international market entry, and not required investment in establishing operations in the host country
- Offers for a firm a low risk and simple way to begin its international process and meet the demand and challenges.
- Exporting is usually small company and management commitment.

Disadvantages of Exporting

- High cost of transportation and possible tariffs placed on incoming goods.
- The exporter has less control over the marketing and distribution of its products in the target country
- The distributor takes part of the profits either in the form of pay or adding extra to the price

B. Contracting

- Contractual entry modes are long-term **non-equity associations between an international company and entity in a foreign target country.**
- The **primarily difference between a contractual entry mode and an export entry is that contractual entry modes are vehicles for the transfer of knowledge and skills. Contractual entry modes are distinguished from the entry modes that need investment, because there is no equity investment by the international company.**

There exist many different contractual entry modes, such as

- Licensing,
- Franchising, and So on.

I. Licensing

is a form of contractual agreement in which the licensor permits the licensee to use its intellectual property (such as patents, trade marks, copyrights, technology, technical know-how, marketing skill or some other specific skill) in lieu of royalty.

- ▶ The monetary benefit to the licensor is the royalty or fees which licensee pays. In many countries .

The advantages of licensing

- ▶ The risk of expropriation decreases because the licensee is a local company that can provide leverage against government action.
- ▶ Provide a method by which foreign markets can be tested without major involvement of capital or company commitment etc....

Disadvantages of Licensing

- ▶ The licensor's lack of control over the marketing plan and program in the target country.
- ▶ Licensing entry mode includes most limited amount of foreign market participation and does not in anyway guarantee a basis for future expansion etc....

II. Franchising

is a form of licensing in which a parent company (the franchiser) grants another independent entity (the franchisee) the right to do business in a prescribed manner.

- ▶ This right can take the form of selling the franchisor's products, 'using its name, production and marketing techniques, or general business approach.
- ▶ One of the common forms of franchising involves the franchisor supplying an important ingredient (part, material etc.) for the finished product, like the Coca Cola supplying the syrup to the bottlers.

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- Usually franchising involves a combination of many of the elements mentioned above. **The major forms of franchising are manufacturer-retailer systems (such as automobile dealership), manufacturer wholesaler systems (such as soft drink companies), and service firm-retailer systems (such as lodging services and fast food outlets).**

III. Contract Manufacturing

- In contract manufacturing, Your relationship with the **manufactory company doing international marketing contracts with firms in foreign countries to manufacture or assemble the products while retaining the responsibility of marketing the product** Contract manufacturing is having your product or part of your product made by another firm under a contract arrangement.

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- **A *manufacturer* is essentially a customer supplier one, except that the product or component is made to your own specifications, rather than being a standard item.**
 - **In many cases you might supply a mould or detailed manufacturing. The sale and marketing of the finished product remain your responsibility, not the manufacturers.**
Sometimes contract manufacture of components also includes final assembly and packaging of the product, as well as delivery to the point of distribution or sale.

IV . A strategic alliance

- is a **specific form of collaboration between two or more companies.** Strategic alliances with stronger overseas partners can provide a means of overcoming the problems of small size and lack of resources faced by some companies. **All organizations are not strong in all function of business. To offset their shortcoming they collaborate with other firms.** It can apply to virtually any form of collaboration between two or more firms, for the following activities:
 - Design contracts
 - Technology transfer agreements
 - Joint product development
 - Purchasing agreements
 - Distribution agreements
 - Marketing collaboration

Characteristics of a Strategic Alliance

- Usually a non-equity, loosely structured relationship
- Each partner retains its business independence
- The alliance can be between companies competitors
- The relative size of the partners is not a significant factor
- Each partner must contribute distinctive “core strengths” e.g. technology

Benefits of strategic alliance:

- Increased leverage
- Risk sharing
- Opportunities for growth
- Greater responsiveness



Disadvantages of a Strategic Alliance

- ➡ High commitment – time, money, people
- ➡ Difficulty of identifying a compatible partner
- ➡ Potential for conflict
- ➡ A small company risks being subsumed by a larger partner and etc...

V. Turnkey Projects:

A project in which contractor handles every detail of the project for a foreign client, including the training of operating personnel, and then hands over the foreign clients the “key” to a plant that is ready for operation. (Setting up a new plant ready for operation).

Turnkey projects are most common in the chemical, pharmaceutical, petroleum refining and metal refining industries, all of which use complex, expensive production technologies.

Advantages:

- ▶ This is the best way of earning greater economic returns from that asset.
- ▶ Obtain returns from know-how about a complex process.
- ▶ Government restrictions may limit other options therefore; this strategy is best in case where FDI is limited by government.



Advantage Conti.....

- ▶ Lower risk if unstable economic/political situation in country.

Disadvantages:

- ▶ The firm that enters into the turnkey deal will have no long-term interest in the foreign country.
- ▶ Less potential to profit from success of plant.
- ▶ Creating a competitor by transferring the technical know-how to a foreign firm.
- ▶ Give away technological know-how to potential competitor

C, Non Contract based

a. Joint Venture

- ▶ A joint venture is the long-term commitment of funds, facilities and services by two or more legally separate interests, to a combined enterprise for their mutual benefits.
- ▶ A joint venture need not be a separate legal entity or company. **The essential feature of a joint ownership venture is that the ownership and management are shared between a foreign firm and a local firm.**

The Benefits of a Joint Venture

Advantages:

- ▶ Benefit from local firm's knowledge about the host country's competitive Conditions, culture, language, political systems and business systems.
- ▶ shared costs/risks of development of product
- ▶ political constraints on other options by host government will be minimized



The Disadvantages of a Joint Venture

- Potentially high capital cost required to establish JV
- It might take much time to get profit
- Difficult to get out of quickly if a partner find the venture infeasible later
- Working in a different legal and Cultural system might be source of conflict among partners

b. Wholly Owned Subsidiaries:

- ▶ In wholly owned subsidiary, **the firm owns 100 percent of the stock. Establishing a wholly owned subsidiary in a foreign market can be done in two ways. The firm can either set up a new operation in host country or it can acquire an established firm and use that firm to promote its products in the country's market.**

I. Acquisitions

- ▶ Acquisition is transferring the local company to foreign owner. In this the foreign company invest in local firm for 100 percent ownership on the existing facility.

Advantages of Acquisitions

- ▶ It may provide a resource that is scarce (human or managerial skill) in the target country
- ▶ rapid access to new markets
- ▶ Is a good method for a firm to gain market specific experience quickly.



Disadvantages of Acquisitions

- Costs and multiple risks come with an acquisition entry mode.
- Firms that use equity based entry mode have a higher rate of growth than export mode when foreign risk is higher.
- Complex international negotiations, the problems dealing with the legal and regulatory requirements in the target firm's country, and problems of merging the new firm into the acquiring firm.
- High financial commitment, and thus demands more stable political and commercial climate than those with smaller financial commitments.



II. Greenfield investments

Greenfield investment is investing from scratch. The company entering in international market will buy land, construct building and hire people to run the business.

Advantages of the Greenfield investment

- The firm is the maintained control over the technology, marketing, and distribution of its products.
- High returns can be generated especially by firms with strong intangible capabilities that are possible to generate through a Greenfield investment.

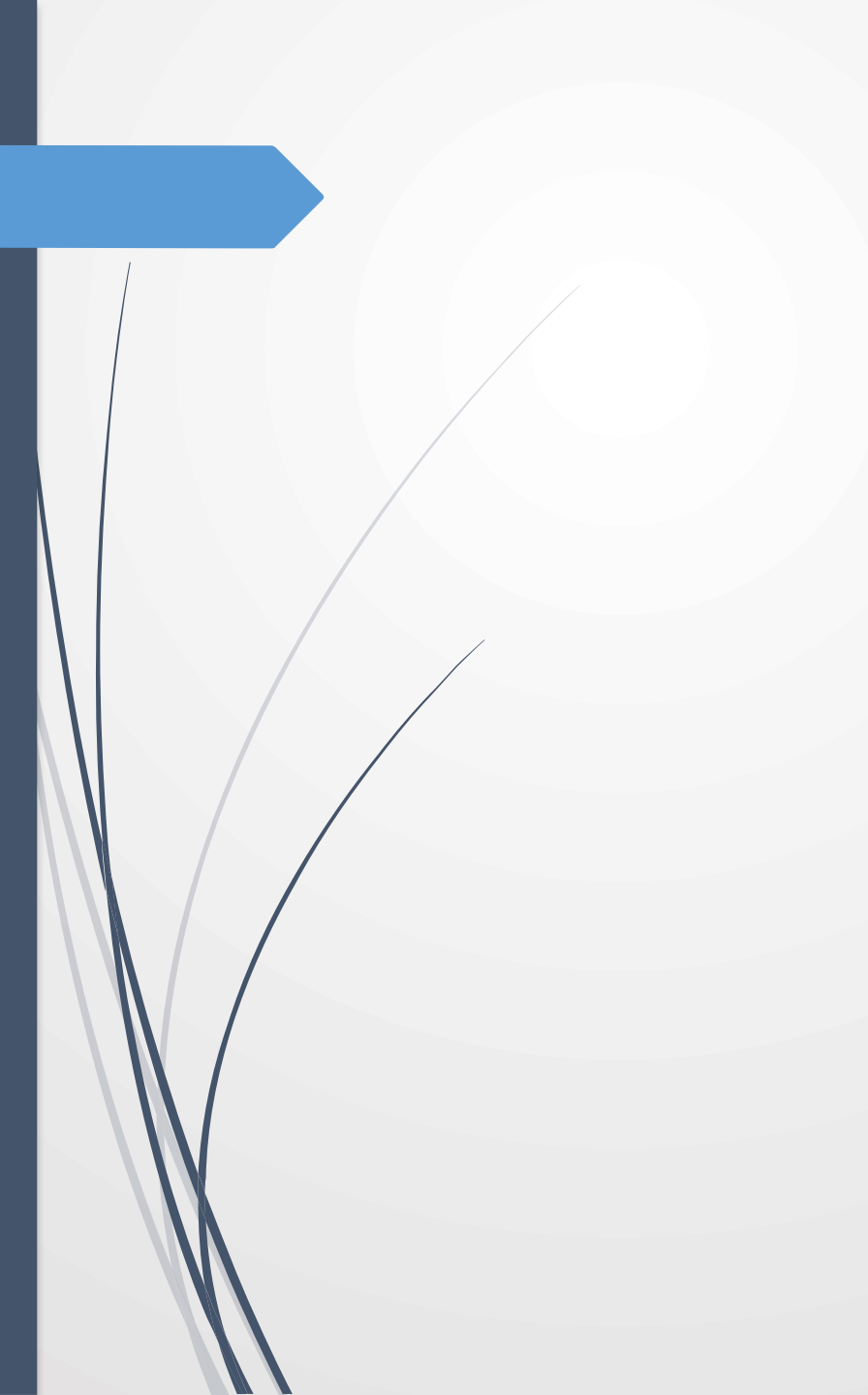
The disadvantages of the Greenfield investment

- Are usually often complex establishing process and potential high costs.
- Establishing new wholly owned subsidiary takes a lot of time, and thus is not appropriate for rapid entering in foreign markets.

Factors Influencing To the Entry Mode Choice

Factors influencing in entry mode decisions can be divided for **external** and **internal** factors.

- ▶ External factors include **target country market factors**, **target country environmental factors**, **target country production factors** and **home country factors**.
- ▶ Internal factors affecting in the entry mode decision are **company product factors** and **company resource factors**



THE END

CHAPTER FOUR

- ▶ A product is often considered, **in a narrow sense, as something tangible that can be described in terms of physical attributes, such as shape, dimension, components, form, color, and so on.** This is a misconception that has been extended to international marketing as well, because many people believe that only tangible products can be exported or sold internationally.
- ▶ A student of marketing, however, should realize that this definition **of product is misleading since many products are intangible (e.g., services).**

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- ▶ Perhaps the best way to define a product is to describe it as a bundle of utilities or satisfaction. Warranty terms, for example, are a part of this bundle, and they may be adjusted as appropriate (i.e., superior versus inferior warranty terms).
 - ▶ Therefore, a complete product should be viewed as a satisfaction derived from the four Ps of marketing (product, place, promotion, and pricing) – and not simply the physical product characteristics.
 - ▶ Since a product can be bundled, it can also be unbundled. One problem with a bundled product is the increased cost associated with the extra benefits. With the increased cost, a higher price is inevitable. Thus a proper marketing strategy, in some cases, is to unbundle a product instead so as to get rid of the frills and attract price-sensitive consumers.

Product Standardization versus Product Adaptation

- ▶ Product standardization **means that a product originally designed for a local market is exported to other countries with virtually no change, except perhaps for the translation of words and other cosmetic changes.**
- ▶ Revlon, for example, used to ship successful products abroad without changes in product formulation, packaging (without any translation, in some cases), and advertising. There are advantages and disadvantages to both standardization and individualization.

Advantages of standardization includes

- 1. High cost of adaptation.
- 2. Primarily industrialized products, e.g. medical equipments
- 3. Convergence and similar tastes in diverse country markets.
- 4. Marketing to predominantly similar countries, almost similar needs, income and exposed to the same media.
- 5. Centralized management of international operations, headquarters prefer standardization
- 6. Strong country of origin effect and image, e.g. Italian shoes, French fashion, German cars,
- 7. Economies of scale in production, R&D, and marketing.
- 8. Competitors have “successful” standardized products

Arguments for Adaptation

- **All countries are not the same in their preference for products due to their difference in economy ,culture, natural environment. Climate is a major factor which force companies to adapt their product accordingly. As petroleum companies are modifying their product to hot country users and cold country users.**

Let us see some of the reasons for product adaptations.

1. Difference in technical standards, e.g. voltage, driver side,
2. Primarily consumer and personal use products, e.g. clothes, food,



3. Variations in conditions of use.

4. Variations in ability to buy, i.e. difference in income levels.

5. Fragmentation with independent national subsidiaries.

6. Strong cultural differences, language may affect purchase.

7. Local environment-induced adaptation, e.g. governmental intervention.

8. Adaptation strategy successfully used by competitors.

Product adaptation is necessary under several conditions. Some are mandatory, whereas others are optional.

Mandatory Product Modification

The mandatory factors affecting product modification are the following:

1. Government's mandatory standards (i.e., country's regulations)
2. Electrical current standards
3. Measurement standards
4. Product standards and systems

▶ The **most important factor that makes modification mandatory is government regulation. To gain entry into a foreign market, certain requirements must be satisfied.** Regulations are usually specified and explained when a potential customer requests a price quotation on a product to be imported.

▶ For example, added vitamins in margarine, forbidden in Italy, are compulsory in the United Kingdom and Holland. In the case of processed cheese, the incorporation of a mold inhibitor may be fully allowed, allowed up to the permissible level, or forbidden altogether.

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- ▶ There are variations in electrical standards within the country. The different electrical standards (phase, frequency and voltage) abroad can easily harm products designed for use in the United States, and such improper use can be a serious safety hazard for users as well. Stereo receivers and TV sets manufactured for the U.S. 110- to 120-volt mode will be severely damaged if used in markets where the voltages are twice as high.

Optional Product Modification

more complex and difficult decision is optional modification, which is based on the international marketer's discretion in taking action. Nescafe in Switzerland, for instance, tastes quite different from the same brand sold just a short distance across the French border .

- Local use conditions is also requiring optional product modification, including climatic conditions. The hot/cold, humid/dry conditions may affect product durability or performance. Avon modified its Candid moist lipstick line for a hot, humid climate. Certain changes may be required in gasoline formulations. If the heat is intense, gasoline requires a higher flash point to avoid vapor locks and engine stalling.
- As a result, these automobiles are attractive to customers in LDCs, especially when the automobiles are also durable and simple to maintain.

Product Attributes in International Markets

Product policy goes beyond the product itself attributes such as brands and trademarks, country of origin, packaging and labeling, and warranty and service policies represent key decision areas .

1. *Brands and Trademarks*

A major focus in international marketing is protecting the company's brands and trademarks. Another is deciding whether there should be one international brand or different national brands for a given product.



2. Product identification

Branding

A brand, once developed and recognized, can have a long life: Major brands such as Gillette and Coca-Cola have been popular for many years.

A big question then is how to build up brand recognition in international markets.

Brands can be built up through advertising, but advertising merely builds on the brand's foundation, which rests on (a) quality, (b) innovation, (c) superior service, (d) customer satisfaction, and (e) value.

A brand can convey up to six levels of meanings.

1. Attributes

A brand first brings to mind certain attributes. E.g Mercedes suggest expensive, well built, well engineered...

2. Benefits

Customers are buying benefits. E.g “well built” might translate in to the functional and emotional benefit, “I am safe in case of accident”

3. Values

Brand has to say something about the product values. Thus Mercedes stands for high performance, safety, etc.

4. Culture

It may represent certain culture. E.g the Mercedes represent German culture, Organized, efficient, high quality.

5. Personality

The brand can project a certain personality.

6. Users

3. Branding decision

The basic purpose of branding is the same everywhere in the world: in general the functions of a brand are:

- Create identification and brand awareness
- Guarantee a certain level of quality, quantity and satisfaction and
- Uses as a promotional tool etc.

All of these purposes have the ultimate goal to induce repeat sales

PACKAGING: FUNCTIONS

- ▶ Much like the brand name, packaging is another integral part of a product. **Packaging serves two primary purposes: functional and promotional. First and foremost, a package must be functional in the sense that it is capable of protecting the product at minimum cost.**
- ▶ If a product is not manufactured locally and has to be exported to another country, extra protection is needed to compensate for the time and distance involved. A country's adverse environment should also be taken into account. When moisture is a problem, a company may have to wrap pills in foil or put food in tin boxes or vacuum-sealed cans. However, the type of package chosen must be economical.

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THE END

Chapter Five

Promotion is communication by the firm with its various audiences, with a view to informing and influencing them. The international marketer must **choose a proper combination of the various promotional tools** to create images among the intended target audience. ***The choice will depend on the:-***

- Target audience,
- Firm's objectives,
- The products or services marketed,
- The resources available for the endeavor, and
- The availability of promotion tools in a particular market



The basic framework and concepts of international promotion are essentially the same wherever employed. Six steps are involved:

- (1) study the target market(s);*
- (2) determine the extent of worldwide standardization;*
- (3) determine the promotional mix (the blend of advertising, personal selling, sales promotions, and public relations) by national or global markets;*
- (4) develop the most effective message(s);*
- (5) select effective media; and*
- (6) establish the necessary controls to assist in monitoring and achieving worldwide marketing objectives*

PROMOTION MIX

❖ The promotion mix also consists of three other distinct but interrelated activities:

- Personal selling,
- Publicity, and
- Sales promotion

5.1 Advertising Decisions Facing the International Marketer

Advertising is a non personal presentation of sales messages through various mass media, paid for by the advertiser.

There are seven decision areas in international advertising:

- (1) Selecting the agency (or agencies),***
- (2) Choosing the message,***
- (3) Selecting the media,***
- (4) Determining the budget,***
- (5) Evaluating advertising effectiveness,***
- (6) Organizing for advertising, and***
- (7) Deciding whether to engage in cooperative advertising abroad.***

Using Cooperative Advertising

A firm that sells through licensees or distributors can choose one of three ways to advertise in its foreign markets:

- (1) It can handle such advertising itself;
- (2) It can cooperate with the local distributor; or
- (3) It can try to encourage the distributor or licensee to do such advertising by itself.

The last alternative is not really feasible, so the choice is primarily between going it alone or cooperating

☐ **Standardization (universal, internationalized, common, or uniform) approach:**

- It is the practice of advertising the same product in the same way everywhere.
- ***This is to advertise for the whole world with the same message content and execution style. But language can be translated to each culture.***

Standardization is more practical and effective under these conditions

- Countries have similar customer behavior and lifestyle
- The product has cultural compatibility across countries
- There is a great degree of similarity in a firm's competitive position in different markets
- Product is industrial or high-tech
- Countries have similar political and legal environments

Advantages

Maintaining consistent image

Reducing confusion among world travelers by maintaining consistent image

Implementing single-coordinated campaign across countries

Economy of scale reducing development, media, and other costs and etc...

Products that is suitable for standardization includes high tech product, luxury product agricultural products.

Drawbacks

- ❖ Include ignoring differences in culture, demographics, and economic conditions

Adapting strategy

(*Non standardization, specificity, individualization, adaptation, or customization* approach): This thought holds that advertisers must note of the differences among countries (e.g., **culture, taste, and media**). These d/ces make it necessary to develop **specific advertising programs**. Product-specific or country advertising modify the appeal and provide information tailored to the local market. **Provide greater relevance to specific local customers and markets.**

The role of Ads

- To inform, remind and persuade consumers
- Helps in building relationships with consumers
- Makes the job of Sales Personnel more efficient
- To support new products by generating awareness
- Contribute to economic growth by expanding the market
- Tells & shows uses to the consumers

5.2 Personal Selling

Personal selling is person-to-person communication between a company representative and a prospective buyer. **The seller's communication effort is focused on informing and persuading the prospect with the goal of making a sale.** *The sales person's job is to understand the buyer's needs correctly, attach those needs to company's product(s), and then persuade the customer to buy.*

Conditions to use personal selling

- Industrial buying or large-volume purchases

- When the market is concentrated or when a salesperson must develop a measure of confidence in the customer for the purchase.

- High-unit value and infrequently purchased product

Varying Quality and Style of Personal Selling

The quality of personal selling varies widely from;

Product to product,

Employer to employer, and

One target group to another.

Personal selling must receive proper support in terms of training and information in addition to advertizing that create awareness and make customers more receptive.

A well-selected, well-trained, well-compensated, and well-supported sales person can, and in most instance will, make the difference between successful and unsuccessful foreign sales volume.

5.3 Sales Promotion

Sales promotion includes all sales activities that supplement and strengthen personal selling and advertising. It includes those selling activities that do not fall directly into the advertising or personal selling category, such as the use of *contests, sampling, cents-off deals*, and so on.

For the most part sales promotion activities are of a relatively short-run duration that adds tangible value to the product or brand. The tangible value created by the sales promotion may come in various forms, such as **price reduction or a “buy one , get one free ” offer**. The purpose of a sales promotion may be to stimulate nonusers to sample a product or to increase overall consumer demand.

Some of the methods of Sales Promotions are discussed here

Direct Marketing

Direct marketing is a system of marketing that integrates ordinarily separate marketing mix elements to sell directly to both consumers and other businesses, bypassing retail stores and personal sales calls

Trade Shows and Exhibitions

Trade shows and exhibitions are other promotion vehicles that are increasingly important in the promotional mix, especially for industrial products and in the international marketplace.

Sponsorship Promotion

Sponsorship serves purposes other than sales promotion. Sponsorship can be used to increase awareness and esteem, to build the brand identification, to enhance the brand's positioning and sales, and to avoid advertising restrictions in some countries.

5.4 Publicity AND Public relations

Publicity, which is any form of nonpaid significant **news or editorial comment about a company**, its practices, its personnel, or its products, is a major component of the *public relations* activities of a company. **Public relations are the marketing communications function that carries out programs designed to earn public understanding and acceptance:** it should be viewed as an integral part of the export marketing effort.

Some Methods That May Be Used To Gain Publicity

- Contribution of prizes;
- Sponsorship of civic activities;
- Release of news about the company's product, plant, and personnel;
- Announcements of the company's promotional campaign- games and contests

The management of publicity

PRICE

Price serves as a means of communication with the buyer by providing a basis for judging the attractiveness of the offer. Price is a major competitive tool in meeting and beating close rivals and substitutes.

6.1 Approaches to International Pricing

Several factors are important in international pricing:

- 1. Setting pricing and strategic objectives
- 2. Monitoring price-setting behavior by competitors and assessing their strategic objectives.
- 3. Evaluating consumers' ability to buy in the various country markets.
- 4. Relating price to a firm's costs and profit goals.
- 5. Understanding the product-specific factors, including product life cycle stage, that affects pricing. Generally prices are reduced on mature products as they become more commodities like and face increased competition.



6. Recognizing differences in the country environment governing prices in each national market

- ❑ differences in the legal and regulatory environment, the volatility of foreign
- ❑ exchange rates, market structure (especially distribution channels), and competitive environment.

7. Currency Fluctuations International marketing is affected by currency fluctuation in other countries. Companies will be affected by the domestic currency rate in relation to foreign currency. The currency fluctuations may unfavorably impact operating margins.

8. Competitive Behavior

If competitors are lowering price continuously the company has to adjust itself to stay competitive

a. Price escalation

Price escalation is the increase in a product's price as transportation, duty, and distributor margins are added to the factory price.

b. Gray market goods

Gray market goods are trademarked products that are exported from one country to another, where they are sold by unauthorized persons or organizations.

c. Transfer pricing

Transfer pricing refers to the pricing of goods and services bought and sold between a company subsidiary units operating in different countries. Transfer pricing is the practice of using false or misleading prices on trade documents in order to evade ad valorem tariffs (tariff is calculated based on the invoice value of the product), or to shift profits within a multinational firm from a high-tax-rate jurisdiction to a low-tax-rate jurisdiction.

In first-time pricing, the general alternatives are:

(1) **Skimming,**

(2) **Following the market price, and**

(3) **Penetration pricing.**

- **The objective of *skimming* is to achieve the highest possible contribution in a short time period. A firm uses skimming when the objective is to reach a segment of the market that is relatively price-insensitive and thus willing to pay a premium price for the value received.**
 - If limited supply exists, a company may follow a skimming approach in order to maximize revenue and to match demand to supply. When a company is the only seller of a new or innovative product, a skimming price may be used to maximize profits until competition forces a lower price.
 - **If similar products already exist in the target market, *market pricing* can be used. The final customer price is determined based on competitive prices, and then both production and marketing must be adjusted to the price .**

A *penetration pricing* policy is used to stimulate market growth and capture market share by deliberately offering products at low prices. When penetration pricing is used, the product is offered at a low price intended to generate volume sales and achieve high market share, which would compensate for a lower per-unit return.

6.2 The Setting of Export Prices

6.2.1 Export Pricing Strategy

The ***standard worldwide price*** may be the same price regardless of the buyer (if foreign product or foreign marketing costs are negligible) or may be based on average unit costs of fixed, variable, and export-related costs.

In ***dual pricing***, domestic and export prices are differentiated, and two approaches, to pricing export products are available: the *cost-plus method* and the *marginal cost method*. The cost-plus strategy is the true cost, fully allocating domestic and foreign costs to the product.

Market-differentiated pricing calls for export pricing according to the dynamic conditions of the marketplace. For these firms, the marginal cost strategy provides a basis, and prices may change frequently due to changes in competition, exchange rate changes, or other environmental changes.

6.2.2 Export-Related Costs

1. The cost of modifying the product for foreign markets.
2. Operational costs of the export operation: personnel, market research, additional shipping and insurance costs, communications costs with foreign customers, and overseas promotional costs.
3. Costs incurred in entering the foreign markets: tariffs and taxes; risks associated with a buyer in a different market (mainly commercial credit risks and political risks); and risks from dealing in other than the exporter's domestic currency that is, foreign exchange risk.

4. The combined effects of both clear-cut and hidden costs result in export prices that far exceed domestic prices. The cause is termed *price escalation*. Price escalation can be combated through creative strategies such as reorganizing the channel of distribution

- **Prices quoted ex-works (EXW)** apply only at the point of origin, and the seller agrees to place the goods at the disposal of the buyer at the specified place on the date or within a fixed period. All other charges are for the account of the buyer.
- **Free carrier (FCA)** One of the new Incoterms is *free carrier (FCA)*, which replaced a variety of FOB terms for all modes of transportation except vessel. FCA (named inland point) applies only at a designated inland shipping point.



Free alongside ship (FAS) :*Free alongside ship (FAS)* at a named port of export means that the exporter quotes a price for the goods including charges for delivery of the goods alongside a vessel at the port.

Free on board (FOB) *Free on board (FOB)* applies only to vessel shipments. The seller quotes a price covering all expenses up to, and including, delivery of goods on an overseas vessel provided by or for the buyer.

Cost and freight (CFR) *Under cost and freight (CFR)* to a named overseas port of import, the seller quotes a price for the goods, including the cost of transportation to the named port of debarkation. The cost of insurance and the choice of insurer are left to the buyer.

Cost, insurance, and freight (CIF) :With *cost, insurance, and freight (CIF)* to a named overseas port of import, the seller quotes a price including insurance, all transportation, and miscellaneous charges to the point of debarkation from the vessel or aircraft.

Delivered duty paid (DDP): *With delivered duty paid (DDP)*, the seller delivers the goods, with import duties paid, including inland transportation from import point to the buyer's premises.

6.4 Methods of Financing/ Payment

- (1) Cash in advance,
- (2) Letters of credit,
- (3) Bills of exchange,
- (4) Open accounts, and
- (5) Consignment.

6.5 Dumping

Dumping is selling goods overseas for less than in the exporter's home market or at a price below the cost of production, or both.



Predatory dumping refers to a tactic whereby a foreign firm intentionally sells at a loss in another country in order to increase its market share at the expense of domestic producers, which amounts to an international price war.

Unintentional dumping is the result of time lags between the dates of sales transaction, shipment, and arrival.

Antidumping duty: The laws of many countries authorize the imposition of anti-dumping duty when goods are sold at a price lower than the normal export price or less than the cost in the country of origin.

A countervailing duty may be imposed on foreign goods that are found to be subsidized by foreign governments and which are designed to offset the advantages imports would otherwise receive from the subsidy.

Countertrade, one of the oldest forms of trade, is a government mandate to pay for goods and services with something other than cash. It is a practice which requires a seller, as a condition of sale, to commit contractually to reciprocate and undertake certain business initiatives that compensate and benefit the buyer.

Monetary payments may or may not be part of the deal.

There are **three primary reasons** for countertrade:

- (1) Countertrade provides a trade financing alternative to those countries that have international debt and liquidity problems,
- (2) Countertrade relationships may provide developing countries and MNCs with access to new markets, and
- (3) Countertrade fits well conceptually with the resurgence of bilateral trade agreements between governments.

Types of countertrade

There are several types of countertrade, including barter, counter purchase, compensation trade, switch trading, offsets, and clearing agreements

Barter

Barter, possibly the simplest of the many types of countertrade, is a one-time direct and simultaneous exchange of products of equal value (i.e., one product for another). By removing money as a medium of exchange, barter makes it possible for cash-tight countries to buy and sell.

Counter purchase (parallel barter)

Counter purchase occurs when there are two contracts or a set of parallel cash sales agreements, each paid in cash. Unlike barter, which is a single transaction with an exchange price only implied, a counter purchase involves two separate transactions – each with its own cash value.

Compensation trade (buyback)

A compensation trade requires a company to provide machinery, factories, or technology and to buy products made from this machinery over an agreed period. Unlike counter purchase, which involves two unrelated products, the two contracts in a compensation trade are highly related



Switch trading

Switch trading involves a triangular rather than bilateral trade agreement. When goods, all or part, from the buying country are not easily usable or saleable, it may be necessary to bring in a third party to dispose of the merchandise. The third party pays hard currency for the unwanted merchandise at a considerable discount.

Offset

In an offset, a foreign supplier is required to manufacture/ assemble the product locally and/or purchase local components as an exchange for the right to sell its products locally. In effect, the supplier has to manufacture at a location that may not be optimal from an economic standpoint.

Problems and opportunities(Reading Assignment)

7.1 Channel Distribution

A set of interdependent organizations (intermediaries) involved in the process of making a product or service available for use or consumption.

There are broadly two category intermediaries in marketing products internationally.

1. Indirect selling

2. Direct selling.

1. Indirect selling

Indirect selling, also known as the local or domestic channel, is employed when a manufacturer in the home country, market its product through another home country firm that acts as the manufacturer's sales intermediary (middleman). As such, the sales intermediary is just another domestic channel for the manufacturer because there are no dealings abroad with a foreign firm

The advantages of using indirect domestic channel:

- ❖ The channel is simple and inexpensive
- ❖ The manufacturer incurs no start up cost for the channel no responsibility of physically moving the goods overseas and etc...

Limitations of Indirect channel:

- ❖ The manufacturer has, has given up control over the marketing of its product to another firm. This situation may adversely affect the product's success in the future.
- ❖ If the chosen intermediary is not aggressive, the manufacturer may become vulnerable, especially in the case where competitors are careful about their distribution practices and etc...

Types of Direct Channel

There are several types of intermediaries associated with the direct channels.

1. Foreign Distributor

A foreign distributor is a foreign firm that has exclusive rights to carry out distribution for a manufacturer in a foreign country or specific area.

2. Foreign Retailer

If foreign retailers' are- used, the product in question must be a consumer product rather than an industrial product.

3. State-Controlled Trading Company

For some products, particularly utility and telecommunication equipment, a manufacturer must contact and sell to state-controlled companies.

4. End User

Sometimes, a manufacturer is able to sell directly to foreign end users with no intermediary involved in the process. This direct channel is a logical and natural choice for costly industrial products.

Types of Indirect Channel

For a majority of products, a manufacturer may find it impractical to sell directly to the various foreign parties (i.e., foreign distributors, foreign retailers, state-controlled trading companies, and end users).

(1) domestic agents (2) domestic merchants

1. Export Broker

The function of an export broker is to bring a buyer and a seller together for a fee. The broker may be assigned some or all foreign market in seeking potential buyers.

2. Manufacturer's Export Agent or Sales Representative

Because of the title of this intermediary, one might easily mistake an export agent or sales representative for a manufacturer's employee when, in fact, this is an independent businessperson who usually retains his or her own identity by not using the manufacturer's name.

3. Export Management Company (EMC)

An export management company (EMC) manages, under contract, the entire export program of a manufacturer.

4. Cooperative Exporter

A cooperative exporter is a manufacturer with its own export organization that is retained by other manufacturers to sell in some or all-foreign markets.

Export Merchant

Export merchants are independent businesses that are in business to make a profit rather than to receive a fee. There are several types of domestic merchants. Because they all take title, they are distinguished by other features such as physical possession goods and services rendered one kind of domestic merchant is the export merchant.

1. Export Distributor

Export distributor deals with the manufacturer on a continuous basis. This distributor is authorized and granted an exclusive right to represent the manufacturer and to sell in some or all-foreign markets.

7.2 Channel Development

The suitability of a particular channel depends greatly upon the country in which it is used. For these reason, a company used country classification system to determine how the distribution strategy should be set up/developed in different countries.

7.3 Channel Adaptation

The standardized approach may not apply to distribution strategy in foreign markets.

Channel Decisions

A. Channel length

- The channel is long - several middlemen.
- The channel is short- when the product has change hands only once or twice.

B. Channel width

Channel width is a function of the number and kind of wholesalers used, as well as a function of the number and kind of retailers used.

C. Number of distribution channels

The manufacturer may employ many channels to move its product to consumers. It may use a long channel and a direct channel simultaneously.

7.4 Factors Affecting Choice of Channels

The following factors are affecting the choice of channels these are cost, capital requirement, control, coverage and character.

Cost

The costs of channels are;

1. The capital or investment cost of developing the channel and
2. The continuing cost of maintaining it.

Capital Requirement

The financial ramifications of a distribution policy are often overlooked. Critical elements are capital requirement and cash-flow patterns associated with using a particular type of middleman.

Coverage

Another major goal is full-market coverage to (1) gain the optimum volume of sales obtainable in each market, (2) secure a reasonable market share, and (3) attain satisfactory market penetration. Coverage may be assessed on geographic and/or market segments.

The channel-of-distribution system selected must fit the character of the company and the markets in which it is doing business. Some obvious product requirements, often the first considered, relate to perish ability or bulk of the product, complexity of sale, sales service required, and value of the product.

Continuity

Channels of distribution often pose longevity problems When one individual retires or moves out of a line of business, the company may find it has lost its distribution in that area. Wholesalers and especially retailers are not noted for their continuity in business either.

7.5 Determinants of Channel Types

Legal regulations

Product image

The product image desired by a manufacturer can dictate the manner in which the product is distributed.

- A product with a low-price image requires intensive distribution.

On the other hand, it is neither necessary nor desirable for a **prestigious product** to have wide distribution.

Product characteristics

The **type of product** determines how the product should be distributed.

Middlemen's loyalty and conflict

As the channel widens and as the number of channels increases, more direct competition among channel members is inevitable.

In effect, intensive distribution reduces channel members' cooperation and loyalty as well as increasing channel conflict.

Local customs

Local business practices, can interfere with efficiency and productivity and may force a manufacturer to employ a channel of distribution that is longer and wider than desired.

Control

A manufacturer that wants to have more control over its product distribution may want to both shorten and narrow its distribution channel.

Export Documents

Correct documentation is vital to the success of any export shipment. Export documents are categorized into two: (1) Shipping Documents, and (2) Collection Documents.

1) Shipping Documents

Shipping documents are prepared by exporters or their freight forwarders so that the shipment may pass through customs, be loaded on the carrier, and sent to its destination.

i) Export Licenses

ii) Bill of Lading

iii) Insurance Certificate

2) Collection Documents

Collection documents are all documents submitted to the buyer for the purpose of receiving payment for a shipment.

(i) Commercial Invoices

(ii) Consular Invoice

(iii) Certificates of Product Origin

(iv) Inspection Certificates



END OF THE COURSE